Class 10 SST - Chapter 20: Money and Credit

🌟 Introduction to the Chapter

Money is an incredibly important medium of exchange in our daily lives. Before money, there was the barter system. In the barter system, there must be a double coincidence of wants.

📌 Modern Forms of Money

Modern forms of money include currency—paper notes and coins. Unlike the things that were used as money earlier (like cattle and grains), modern currency is not made of precious metal.

- It is accepted as a medium of exchange because the currency is authorized by the government of the country.
- The Reserve Bank of India (RBI) issues currency notes on behalf of the central government.

⚡ Loan Activities of Banks

Banks keep only a small proportion of their deposits as cash with themselves (usually 15%). These are provisioned to pay the depositors who might come to withdraw money.

- Banks use the major portion of the deposits to extend loans.

- In this way, banks mediate between those who have surplus funds (the depositors) and those who are in need of these funds (the borrowers).
- The difference between what is charged from borrowers and what is paid to depositors is their main source of income.

❌ Common Mistakes to Avoid

> [!WARNING]
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> 1. **Collateral:** Collateral is an asset that the borrower owns (such as land, building, vehicle, or deposits with banks) and uses this as a guarantee to a lender until the loan is repaid.

📝 Quick Revision

Formal vs Informal Credit

- **Formal Sector:** Banks and cooperatives. The RBI supervises their functioning.
- **Informal Sector:** Moneylenders, traders, employers, relatives, and friends. There is no organization which supervises the credit activities of lenders in the informal sector. They charge much higher interest rates, which can lead to a debt trap.